UBS 2011 Rogue Trading Scandal

From Operational Failure to Treasury Decisions

EXECUTIVE BRIEFING TO THE GROUP CEO AND UBS GROUP EXECUTIVE BOARD

Corporate Treasury Management · 14 Sep–14 Dec 2011

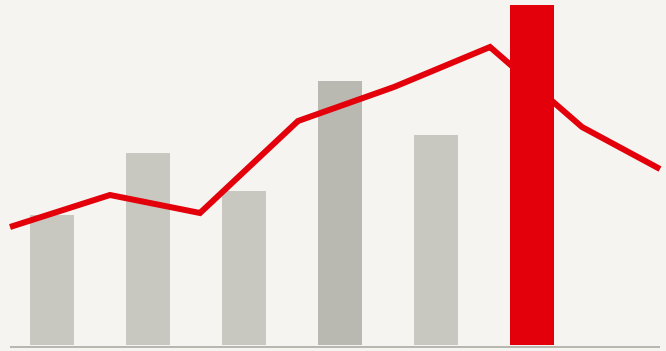
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TREASURY DECISION WINDOW

14 September → 14 December 2011

LIQUIDITY HEADROOM · CONCEPT



Protect cash capacity.
Verify exposure. Gate funding.

Source-led case analysis · all modelled cash paths are explicitly labelled, not historical UBS data

Research question, scope and method

CENTRAL QUESTION

How should UBS Treasury meet payment obligations over the three months after concealed trading losses are discovered?

INCIDENT

Unauthorised trading in UBS Investment Bank, London; operational-risk case with immediate Treasury implications.

PERSPECTIVE

Treasury team advising the CFO at discovery—not regulators looking back.

HORIZON

14 Sep–14 Dec 2011; greatest forecast detail in the first days.

Instructor-approved adaptation: use maturity-based bank cash flows and liquidity headroom—not corporate WCR / CCC.

PUBLISHED	UBS disclosures + regulator findings
ASSUMED	Inputs explicitly labelled in the cash model
STRESSED	Sensitivity cases, never presented as historical outcomes

Three parts: (I) incident and cash transmission · (II) cash bridge and funding need · (III) residual risks and CFO actions.

Subsequent disclosures explain the outcome; they are not treated as information Treasury had on 14 September.

Sources: [1] FINMA; [2] FSA. Method separates discovery-date information from later findings.

UBS’s bank cash cycle is governed by timing, currency and location

2011 GROUP CONTEXT Wealth management · Swiss banking · Asset management · Investment Bank

CASE PERIMETER

Kweku Adoboli traded on UBS Investment Bank’s London ETF desk in Global Synthetic Equities.

RECEIPTS / CASH IN

Customer deposits · loan repayments · fees
Trading settlements due to UBS · funding proceeds

PAYMENTS / CASH OUT

Withdrawals · lending commitments · trade settlements
Collateral · debt maturities · payroll and suppliers

LIQUIDITY ≠ PROFITABILITY ≠ CAPITAL

Liquidity is cash and assets realistically monetisable within the required time. Group cash may be trapped by legal entity, currency, collateral eligibility or transfer delay.

Simplified 2011 bank cash-cycle exhibit. Liquidity resources must be available when and where due.

Real futures exposure was hidden by fictitious offsetting records

14 SEP
UBS discovers Adoboli's unauthorised futures positions

15 SEP
Initial loss estimate ~USD 2.0bn

18 SEP
UBS says risk covered; equities within limits

04 OCT
Revised estimate USD 2.3bn

REAL MARKET POSITION

Long / short index futures with genuine external risk

FALSE BOOK ENTRIES

One-sided internal futures · late bookings
Fictitious deferred-settlement ETFs; no external risk position

APPARENT CONTROL VIEW

Offsets looked real; reported risk / P&L concealed the true exposure



Adoboli · user-supplied image; rights unverified

FINMA-reported gross notional peaks (USD bn; not P&L or net-delta risk)

LONG index futures

12.1bn

8 Aug · peak

SHORT index futures

8.5bn

15 Sep · peak

About USD 2.1bn of the final USD 2.3bn loss came from the long positions.

25 Oct UBS Q3 accounting: CHF 1.951bn total = CHF 1.849bn P&L + CHF 102m translation (~USD 2.229bn).

Sources: [1] FINMA §§11–18; [2] FSA §§23–25; [3] UBS Supplement No. 2; [4] UBS Q3 2011.

Control failures amplified exposure and liquidity pressure

TRADE VERIFICATION

Unmatched / fictitious entries and late bookings were not independently confirmed.

EXCEPTION REVIEW

Material breaks and cancelled / amended / late trades were not investigated promptly.

SUPERVISION & ESCALATION

Desk transfer, limit breaches and fragmented control ownership weakened challenge.

Concealed exposure — **Adverse market moves** — **Settlement / collateral** — **Lower liquidity headroom** — **Funding / confidence stress**

CASH EFFECTS TO TRACK

PERMANENT	Realised trading losses; investigation / remediation expense.
TEMPORARY	Cash settlement and recoverable collateral / delayed receipts, if evidenced.
CONTINGENT	Withdrawals, tighter counterparty terms, funding access; stress scenarios only.

Obligations continue: settlements · withdrawals · debt repayments · payroll · supplier payments. Do not equate the USD 2.3bn loss with day-one cash need.

Sources: [1] FINMA §§23–41; [2] FSA §§26–42. Potential channels are not asserted historical cash movements.

Set one consistent perimeter before calculating the funding requirement

PERIMETER & REPORTING CURRENCY

Group cash calendar, with London Investment Bank exposure ring-fenced. Model in USD; convert any CHF cash flows at a stated date-specific Treasury rate.

ACCESSIBILITY TEST

Exclude trapped, ineligible or late-transfer assets unless available in the right entity, currency and settlement window.

PUBLISHED

Loss announcements, position chronology, regulatory findings

DERIVED

Accounting reconciliation and model arithmetic from cited inputs

ASSUMED

Opening cash, receipts / payments, buffer, FX, settlement timing

Use maturity-based cash flows and liquidity headroom—not WCR / CCC, which are not fit for a bank's deposit, settlement and collateral profile.

Opening accessible cash and the policy minimum buffer must come from internal Treasury records. Use the Board-approved buffer; test sensitivity around it rather than inventing a threshold.

Forecast frequency: daily for 14–20 Sep; weekly thereafter, with monthly roll-up through 14 Dec 2011.

Published sources do not disclose UBS's entity-level daily Treasury cash ledger or minimum buffer.

Compare the same opening position with and without incident cash flows

CASH BRIDGE ITEM	NO-INCIDENT BASELINE	INCIDENT SCENARIO
Opening accessible cash	C_0	C_0
Operating / contractual receipts	$+ R_t$	$+ R_t$
Operating / contractual payments	$- P_t$	$- P_t$
Incident net settlement payments (incremental)	—	$- S_t$
Incident net collateral[1] (incremental)	—	$+ K_t$
Investigation / remediation	—	$- I_t$
Closing cash before funding	$\mathbf{C_0 + R_t - P_t}$	$\mathbf{C_0 + R_t - P_t - S_t + K_t - I_t}$
Minimum cash buffer	$\mathbf{B_t}$	$\mathbf{B_t}$
Funding gap	$\mathbf{\max(0, B_t - Cpre)}$	$\mathbf{\max(0, B_t - Cpre)}$
Additional funding received	$\mathbf{F_t}$	$\mathbf{F_t}$
Closing cash after funding	$\mathbf{Cpre + F_t}$	$\mathbf{Cpre + F_t}$

Cpre = opening + receipts − payments + incident flows. [1]K_t is incremental: release positive, call negative; routine collateral sits in P_t. Carry each closing balance forward.

No double count: cash paid before discovery is in C_0; settlement flows are not deducted again as the headline P&L loss.

Stress the timing and accessibility of cash—not a second version of P&L

EARLIER / LARGER SETTLEMENT	Accelerate S_t or increase it within approved stress bounds.
SLOWER COLLATERAL RELEASE	Delay K_t; haircut or dispute the return until confirmed.
FUNDING ROLLOVER REDUCED	Assume a portion of maturing funding is not renewed.
ADDITIONAL WITHDRAWALS	Accelerate cash outflows; do not count as historical incident fact.
LIQUIDITY SOURCE DELAYED	Move the value date beyond the forecast need.

REPORT FOUR OUTPUTS IN BASE + STRESS CASES

- **Lowest cash**
- **First buffer-breach date**
- **Peak funding requirement**
- **Can funding arrive in time?**

If the loaded base case has no gap, report zero funding required; show which stress assumptions change that result.

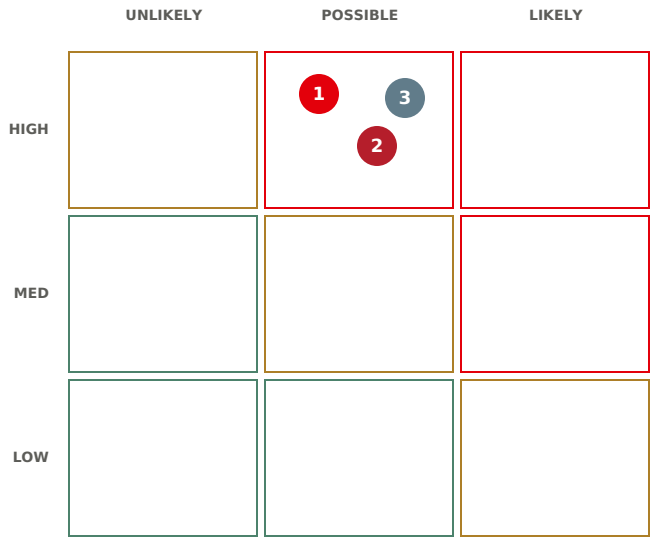
Stress inputs are assumptions; calculate outputs only after loading internal Treasury and settlement records.

Risk register: score residual exposure after containment

RISK REGISTER · LIKELIHOOD × IMPACT = SCORE

P1 Operational	Unreconciled breaks could hide open positions	2×3=6
P2 Liquidity	Settlement / collateral peak versus buffer	2×3=6
Market	Price move before remaining positions close	2×2=4
Counterparty	Collateral return / receivable delayed	2×2=4
P3 Funding	Maturity in horizon may not roll	2×3=6
Reputational	Outflows / tighter terms in confidence stress	1×2=2
Legal / regulatory	Investigation + remediation cash timing	2×2=4

3 × 3 PRIORITY MATRIX



Impact: 1 headroom erosion <25% of approved buffer; 2 ≥25%, no breach; 3 cash below buffer

Likelihood 1–3 = unlikely / possible / likely within horizon; 25% is a proposed scoring cutoff, not UBS policy. Priorities: residual exposure, settlement / collateral breach, funding rollover.

Scores are analyst assumptions—not UBS / regulator ratings. Re-score after close-out; judge residual exposure only.

Three CFO actions link control, liquidity and execution

1 · IMMEDIATE LIQUIDITY PROTECTION

Owner: Group Treasurer | Deadline: initial view in 24h; funding before first modeled breach.

Benefit: measured headroom uplift = confirmed accessible funding less fees / haircuts.

Constraint: availability, collateral eligibility, execution time and cost.

Fallback: separately assessed resource available within the required window.

2 · CONTAIN CASH EXPOSURE

Owner: IB COO + Market Risk + Treasury | Deadline: immediate; daily until reconciled / closed.

Benefit: reduce uncertainty; count collateral release only when confirmed.

Constraint: market liquidity, close-out cost and settlement delays.

Fallback: retain a conservative liquidity overlay against unresolved items.

3 · REBUILD CONTROLS & GOVERNANCE

Owner: CRO + IB COO; Internal Audit validates | Interim days; programme by 14 Dec.

Benefit: reduce recurrence; no unsupported cash-saving estimate.

Constraint: systems, staffing, implementation and ownership.

Fallback: manual independent verification, dual sign-off and tighter limits.

Proposed actions; quantify cash benefit from internal data, do not invent amounts.

Board decision: protect payment capacity; activate funding only on evidence

Authorize a verified 13-week cash forecast, independent position reconciliation and a pre-arranged funding fallback. Do not equate the USD 2.3bn accounting / trading loss with a same-day cash requirement.

DAILY · FIRST WEEK	Accessible cash and buffer · settlement / collateral due · open breaks
WEEKLY · TO 14 DEC	Funding maturities · forecast variance · withdrawals / counterparties
ESCALATE IF	Forecast cash below buffer before funding arrives; unresolved material trade; missed collateral return or rollover

DIRECT ANSWER & MODEL LIMITATION

The response is a timing-led liquidity plan: preserve headroom, contain and reconcile positions, and stage funding before any modeled breach. Public sources confirm the incident, but not opening accessible cash, daily flows, the minimum buffer or the actual peak funding requirement/date; those require UBS Treasury records.

If the internal base case shows no funding gap, report zero; disclose the stress assumptions that would create one.

References · source register

[1] FINMA	Summary Report: investigation into UBS London trading losses, 21 Nov 2012. Positions, concealment, controls.	OPEN SOURCE ↗
[2] FSA / FCA	Final Notice: UBS AG, 25 Nov 2012. USD 2.3bn loss, limits and control failings.	OPEN SOURCE ↗
[3] UBS	Supplement No. 2, 11 Oct 2011. Initial estimate, revision to USD 2.3bn; risk covered by 18 Sep.	OPEN SOURCE ↗
[4] UBS	Third Quarter 2011 results / presentation materials, 25 Oct 2011. CHF / USD accounting reconciliation.	OPEN SOURCE ↗

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Appendix · model inputs, calculation rules and data gaps

INPUT REGISTER

Opening accessible cash by entity / currency
Maturity-date receipts and payments
Incident settlements by value date
Collateral calls / returns, net of duplicates
Remediation invoices; policy buffer
Committed funding, lead time and conditions

CALCULATION RULES

Closing cash before funding = opening + receipts − payments
Incident case adds $-S_t + K_t - I_t$
Funding gap = max(0, buffer − closing before funding)
Closing after funding = closing before + confirmed funding
Carry each period close into next period
Report lowest cash, breach date and peak gap

EVIDENCE & LIMITS

Published: loss / dates / positions / control findings
Derived: disclosed CHF / USD accounting reconciliation
Assumed: cash opening, flows, buffer, FX and stress timing
No WCR / CCC proxy for bank liquidity
No actual gap until internal ledger is loaded
Use explicit FX source and date for each translation

Supporting calculations should report the model version, as-of time, owner, data source and scenario label.

Use internal Treasury, settlement, collateral and risk records to populate this template; retain source / timestamp for every input.